

Indian Banking Sector Report Q1 2025

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EXECUTIVE SUMMARY

Indian banking sector demonstrates resilience with strong credit growth and improving asset quality. Private sector banks outperforming PSU banks on return metrics.

We initiate coverage with an OVERWEIGHT stance on the sector.

SECTOR OVERVIEW

Credit Growth

- System credit growth at 14.2% YoY, above RBI's 12% projection
- Retail loans leading growth at 18% YoY (personal loans, home loans, auto loans)
- Corporate credit recovering with 11% growth as capex cycle resumes
- MSME lending growing at 22% YoY supported by government schemes

Asset Quality

- Gross NPA ratio declined to 3.2% from 4.1% a year ago
- Net NPA at 0.8%, near decade lows
- Provision coverage ratio at 76%, providing strong buffer
- SMA-2 (Special Mention Accounts) stable at 0.6% of advances

Profitability

- System ROA at 1.2%, highest in 15 years
- Net Interest Margins holding at 3.8% despite rate pressure
- Cost-to-income improving to 44% from 48% on operating leverage

TOP PICKS

1. HDFC Bank - OVERWEIGHT, Target Rs 1,950
 - Best-in-class liability franchise, merger integration on track
 - ROA target of 1.8% by FY27, credit cost normalization complete
2. ICICI Bank - OVERWEIGHT, Target Rs 1,400
 - Strong retail franchise, technology-led growth
 - ROE expansion to 18% expected by FY26
3. Kotak Mahindra Bank - EQUAL WEIGHT, Target Rs 1,850
 - Premium valuation limits upside, CEO transition risk

4. Axis Bank - OVERWEIGHT, Target Rs 1,250

- Citibank integration synergies materializing, ROA improving

RISKS

- RBI rate cuts could compress NIMs by 15-20 bps
- Unsecured retail loan stress emerging in microfinance segment
- Regulatory risk: RBI tightening on personal loan growth

CONCLUSION

Maintain OVERWEIGHT. HDFC Bank and ICICI Bank are top picks offering combination of growth, quality, and reasonable valuation. Avoid PSU banks given valuation premium not justified by return differential.